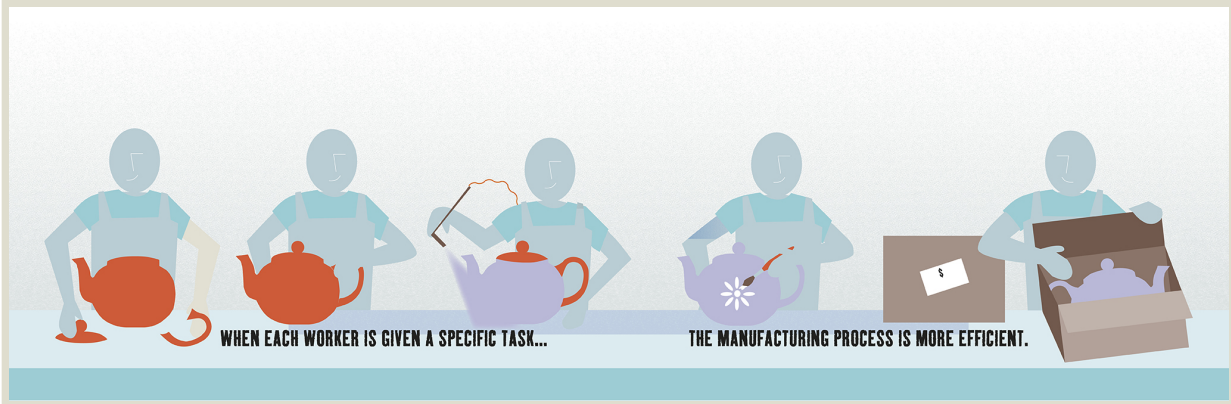


Another production cost is labor. Machines can now do many jobs, and a single machine can often do the work of many people using only one operative. This is why businesses spend some of their profits on research and development, looking for ways to improve the efficiency of their equipment. Labor can be cheaper in poor countries, so businesses in richer countries may outsource production abroad.



Many hands

By having each worker focus on just one aspect of production, rather than changing from one task to another, productivity is increased greatly.

Tougher cuts

Improving productivity in the service industry is harder because it largely relies on human resources. Information technology, however, has brought some changes. For example, businesses no longer have to be based in expensive cities, and services can be done via the internet or by email.

Businesses that focus on producing high-quality goods emphasize the fact that they are handmade in a traditional way. These businesses thrive because of a demand for quality products for which customers will pay higher prices. These prices cover the higher production costs.